Sandisk Corporation (SNDK)

Long-Term Conviction Report — Deep-Dive Mode

SNDK | B-SM (Cyclical) | Price €1,000.54 ($1,120.05) pre-split — Nov 3, 2026 intraday, yfinance (= $140.01 after the 8-for-1 split on Nov 20) | Report date 2026-11-03

VERDICT — YELLOW · Verdict Score 5.1 / 10

Fair (F-Score 58) | MoS Gate: NONE | WATCH (QUALITY, Compounder 5.5/9) | AI Impact: TAILWIND

DCF Bear €418 ($467) / Base €914 ($1,023) / Bull €1,299 ($1,454) vs price €1,001 ($1,120): price is 1.09× Base (9% above it) and 0.77× Bull. It needs a mid-cycle EPS of ~$74 vs our Base $60. Post-split (from Nov 20) divide every per-share figure by 8: Base $127.87, price $140.01.

Default Warnings: none triggered (see Step 0).

Main risks:

• Price rollover already starting: Kioxia (the JV partner, same fabs) guided NAND prices roughly flat next quarter after +mid-20s% in Jul–Sep and ~+70% in Apr–Jun. Bear €418 ($467) (-58%).
• History: the business lost money in 3 of the last 4 fiscal years (FY23–FY25 net −$2.14B / −$0.67B / −$1.64B). The price needs mid-cycle EPS 6.7–10× the FY22 peak (~$7.3/share).
• Discount rate: price = Base only at a 10.1% WACC (house 11.23%); price = Bear only at 5.1%, i.e. never in practice.
• Capital allocation: buybacks at ~$1,419 (May), ~$1,877 (June) and ~$1,563 (Jul–Sep) per share, all 27–68% above today's price and above our Base.
• Regime / momentum: −34% in a month, −52% from the $2,335 June close, below MA50 ($1,540) and MA200 ($1,266). SMH closed below its MA200 on Nov 2 (Stage 4, macro SHORT bias).

Personal analysis, not financial advice. DCF values are illustrative scenario modelling, not price targets. EUR at 1 USD = €0.8933 (EUR/USD 1.1194, macro report 2026-11-03). All per-share figures are PRE-SPLIT unless marked.

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Summary

Verdict: YELLOW, score 5.1/10 — WATCH (QUALITY). No Default Warning is triggered: gross margin rose five quarters in a row (29.8% → 85.0%), cash flow is rising, estimates went up after the Q1 print and no customer is ≥ 20%. SanDisk is a QUALITY business at a NAND pricing peak. After a 52% fall from June, the price €1,001 ($1,120) is still 9% above a Base case €914 ($1,023) built on consensus to FY28, a house downturn in FY29–FY30 and a mid-cycle EPS of $60. It sits between Base and Bull (MoS Gate NONE). Unlike Micron (GREEN WEAK, Nov 2), SanDisk trades at the top of the memory peer ladder (4.9× FY27 EPS, same as MU, vs 3.3–3.8× for SK Hynix, Kioxia and Samsung) and has no through-cycle earnings history to anchor a higher mid-cycle.

This is the first long-term report on SNDK (it was only a peer line in the MU reports). The previous MU report quoted SanDisk at 4.9× FY27 — unchanged, because consensus rose as the price fell.

0. Recent Context

Default Warnings check (last 5 quarters)

Warning	Series / evidence	Triggered?
Margin deterioration (3+ quarters)	GAAP gross margin 29.8% → 50.9% → 78.4% → 84.6% → 85.0% (Q1 FY26 → Q1 FY27, QoQ); operating 7.6% → 35.5% → 70.0% → 78.5% → 79.6%; net 4.9% → 26.5% → 60.8% → 77.0% → 73.4% (one decline: Q4 included an $804M Nanya mark-up). Q2 guide gross 84.4–85.4% GAAP: flat.	No
Cash conversion break	OCF Q1 FY27 $6.36B vs $0.49B a year ago (YoY up); TTM OCF $17.55B vs TTM net income $19.42B. QoQ OCF fell 11% ($7.13B → $6.36B) while net income rose 17%: one quarter, driven by receivables +$1.88B.	No (watch)
Estimate cuts (> 5% in 30 days)	FY27 EPS $227.80 vs $213.90 30 days ago (+6.5%); FY28 $287.26 vs $263.49 (+9.0%). 1 up / 0 down in 30 days (yfinance).	No
Customer concentration	10-K: no customer ≥ 10% in FY24, FY25, FY26; top ten 41% / 40% / 44%. 10-Q Q1 FY27: two customers at 12% each (quarter); receivables 16% / 15% / 11%. Top five not disclosed. NBMs are multi-year take-or-pay with collateral; other sales are purchase-order based.	No (rising: 24% in two names)

Last reported quarter: fiscal Q1 2027 (ended Oct 2, 2026; reported Oct 29)

Metric	Q1 FY27	Prior	Change
Revenue	$11.03B	Q4 FY26 $8.97B / Q1 FY26 $2.31B	+23% QoQ / +378% YoY
Datacenter / Edge / Consumer	$4.80B / $5.83B / $0.40B	Q4 $2.98B / $5.43B / $0.56B	+61% / +7% / −29% QoQ
Gross margin (GAAP / non-GAAP)	85.0% / 85.1%	Q4 84.6% / 84.6%	+0.4 pt
Operating margin (GAAP)	79.6%	Q4 78.5%	+1.1 pt
EPS (GAAP / non-GAAP)	$52.60 / $49.51	Q4 $43.97 / $39.25	+20% / +26% QoQ; consensus $46.41 (+6.7% beat)
OCF / capex / FCF	$6.36B / $0.05B / $6.31B	Q4 $7.13B / $0.04B / $7.08B	FCF −11% QoQ
Adjusted FCF (ex NBM prepayments, incl. Flash Ventures)	$5.70B (51.6% of revenue)	Q4 $5.04B (56.2%)	+13% QoQ
Buybacks	$5.0B, ~3.2M shares (~$1,563 avg)	Q4 2.84M shares at $1,419–1,877	~4% of shares in two quarters

Volume vs price (10-Q MD&A, YoY): total exabytes +~10%; Datacenter exabytes +~330%, revenue per GB +~320%; Edge revenue per GB +450% on exabytes −20%; Consumer exabytes −70%. Management on the call: Q1 revenue growth was ~60% volume / ~40% price QoQ; "we expect pricing to continue to increase modestly throughout the year"; bit growth "mid- to high teens", no acceleration of BiCS transitions; fiscal Q3 is "normally our weakest sequential quarter".

Guidance Q2 FY27 (quarter ends ~Jan 1, 2027): revenue $12.2–12.6B (+11–14% QoQ), non-GAAP gross margin 84.5–85.5%, non-GAAP opex $540–560M, tax 14.3%, EPS $55–57 on ~151M diluted shares (= $6.88–7.13 post-split). Street: $12.51B / $57.12 (16 / 17 analysts) — at the top of the guide. Gross capex: $378M in Q1 (3.4% of revenue), rising to a mid-single-digit % of revenue for FY27 (call). Capital return: "return 100% of excess cash to shareholders", debt-free.

Filings — what they add (FY26 Form 10-K filed 2026-08-17; Q1 FY27 Form 10-Q filed 2026-10-30)

Item	Filing figure	Why it matters
Geographic mix (ship-to region)	FY26: Asia $14.24B (70.3%), Americas $4.28B (21.1%), EMEA $1.73B (8.6%). FY25: 60.6% / 22.0% / 17.4%. FY24: 67.7% / 16.4% / 15.9%. Q1 FY27: Asia 65.4%, Americas 29.5%, EMEA 5.1%.	Region of shipment, not customer HQ: Asia is where OEMs and ODMs assemble. Americas rising with US hyperscalers.
End markets (10-K / 10-Q)	Datacenter $0.33B → $0.96B → $5.15B (FY24 → FY26) = 4.9% → 13.1% → 25.4% of revenue; Q1 FY27 43.5%. Edge $4.07B → $4.13B → $12.16B. Consumer $2.27B → $2.27B → $2.94B.	The mix shift to data center is the core of the AI thesis; Consumer is now shrinking (−39% YoY in Q1) as prices ration demand.
Segments	Single reportable segment (Note 9).	No SOTP possible or needed.
Customer concentration	FY24–FY26 no customer ≥ 10%; top 10 = 41% / 40% / 44%. Q1 FY27: two customers at 12% each.	Concentration is rising as NBMs lock in large data-center buyers.
RPO / NBMs	RPO $59.8B at Jul 3 2026 → $88.9B at Oct 2 2026 (+$29.1B in one quarter), entirely NBMs; ~20% recognised in the next 12 months (≈ $17.8B, ~36% of FY27 consensus revenue). Contract liabilities (prepayments) $1.53B; refund liabilities (NBM deposits) $1.60B; customer collateral at banks $12.8B (off-balance sheet). Pricing: fixed + variable, variable with floors and ceilings. ~50% of FY27 bits and ~2/3 of FY28 bits under NBM (call); 95% of NBM counterparties investment grade.	The single biggest argument for a higher mid-cycle. Unlike Micron's, the floor-margin level is not disclosed in the filings.
Supply structure (Note 10)	Substantially all wafers come from Flash Ventures (JV with Kioxia, ~50% of output). SanDisk pays half of fixed costs regardless of volume and funds 49.9–50% of JV capex not covered by JV cash flow. JV terms extended to Dec 31, 2034; $1.2B of payments to Kioxia over 2026–29 for "continued availability of supply".	Capex sits inside the JV and comes back through wafer cost: reported capex (0.9% of FY26 revenue) understates the economic capital intensity.
Debt-like items	No financial debt (term loan repaid Mar 4, 2026); leases $201M; NBM deposits $1.60B (refundable); NBM prepayments $1.53B; WDC tax indemnity $132M. Off-balance: Flash Ventures lease guarantees $838M; max loss exposure to the JV $2.94B; long-term supply commitments $6.79B; building-depreciation prepayments $459M through FY2035. Asset: Nanya stake $2.29B (3-year lock-up).	Deducted in Step 5 (deposits, prepayments, leases, indemnity); JV guarantees left as tail risk.
Legal (10-K Item 3, 10-Q Note 15)	"No material legal proceedings." FY26 included $93M of legal settlement gains in other income.	Clean, unlike MU (antitrust class action).
Risk factors stressed (Item 1A)	1) reliance on Kioxia / Flash Ventures; 2) declining ASPs, volatile demand, industry consolidation; 3) demand timing of AI data-center build-outs; 4) loss of a key customer; 5) NBM execution and counterparty risk; 6) JV guarantees and revolver covenants; 7) buyback may not create value; 8) tariffs (Section 232/301	Feeds the Bear case and RSK-1.

Item	Filing figure	Why it matters
	investigations).	
Workforce	~11,100 employees in 33 countries (74% Asia-Pacific); no unionisation disclosed.	MGT-7.
Capital return	Programmes: $6.0B (Apr 30, 2026) + $14.0B (Aug 5, 2026); $10.5B left at Oct 2. Bought 1.72M shares at $1,419 (May), 1.12M at $1,877 (Jun), ~3.2M for $5.0B (Jul–Sep). Taxes paid on vested awards $755M in Q1 (net share settlement).	Buybacks done well above today's price → Framework 8 buyback FAIL.
Working capital	Receivables $1.19B → $6.59B in a year (DSO 47 → 54 days); inventory $3.02B (+12% QoQ, raw materials +23%).	Consistent with growth; DSO +7 days is the item to watch.
Tax	Effective rate 13% (Q1 FY27); Malaysia tax holidays expire 2028–31; Pillar Two now applies.	Mid-cycle tax rate set to ~15% in the Base.

Recent news (Aug 5 – Nov 3, 2026)

Date	Event	Read
Aug 5	Q4 FY26 results; $14B additional buyback	Capital return scaled with the cycle
Aug 17	FY26 10-K: RPO $59.8B, no customer ≥ 10%	NBM book established
Late Aug	Kioxia + SanDisk: > $31B (~¥5T) Japan NAND investment plan to 2032; Kitakami Fab3 targeting FY2029; contingent on Japanese government support. SanDisk share not disclosed (one report says 40%)	New supply from 2029: the timing of the Base downturn
Sep 9–10	Revolver amended (maturity 2031, lower margin); executive pay review (CEO salary $1.3M, STI 200%)	Routine
Sep 14	Form 4 sales under a 10b5-1 plan at ~$1,522–1,539 (reporting person not confirmed); CTO sold 2,000 shares at $1,756.58; CEO had 10,540 shares withheld for tax at $1,554.99 (holds ~417k)	Insiders sell; none buy
Oct 16–23	Leg down on CXMT's memory announcement, a hot CPI print and peak-cycle fears	Sector de-rating
Oct 29	Q1 FY27 beat (EPS $49.51 vs $46.41), Q2 guide above consensus at the top end, 8-for-1 split (record Nov 9, trading split-adjusted Nov 20)	Fundamentals still accelerating
Oct 30	SNDK −13.5% to $1,150.89 (−18% in two sessions). Kioxia: NAND ASP +mid-20s% in the Sep quarter vs ~+70% the quarter before, roughly flat next quarter, below TrendForce's Sept call of +15–20% for Oct–Dec contracts	The rate of price increase is falling, a classic late-cycle tell. SanDisk says "modest" increases; its partner says flat.
Nov 2	Close $1,075.08; SMH closes below MA200	Stage 4 confirmation
Nov 3	+4% to ~$1,120 after Apple guided Dec-quarter gross margin to 45–46% because memory prices are surging	Pricing power today, but demand destruction risk at OEMs

Litigation and competitor search: no lawsuits found against SanDisk in the period; the 10-Q reports none material. Competitors: Samsung and SK Hynix (prioritising HBM/DRAM capex over NAND), Micron (data-center SSDs), Kioxia (same wafers, competes for the same customers), YMTC (China; listed by the 10-K). Rising cost lines: compensation and payroll taxes on long-term incentives (R&D +22% YoY, SG&A +20%), JV fixed costs, and the $1.2B supply payments to Kioxia. Price move: −34% in 21 sessions and −52% from the $2,335 June 25 close. Causes found: the Kioxia price outlook, peak-cycle fears and the semis-wide Stage 4. No company-specific negative surprise.

Macro overlay — today's /macro (2026-11-03)

Market bias SHORT (Marks ≥ 5/7); Kindleberger Stage 4 CONFIRMED on SMH. SMH closed at $508.31 (€454.1) on Nov 2, below its MA200 ($520.1); today's +2.3% bounce is a retest from below. Regime: transitioning between stagflation-lite and reflation, MEDIUM-LOW confidence; NFP on Nov 6 decides. 10Y UST 4.933% (used as the risk-free rate). Apple's margin guide is the first hard number on memory-cost pass-through: good for SanDisk pricing

now, and the mechanism by which high prices destroy low-end demand (SanDisk Consumer −39% YoY, Edge exabytes −20% YoY).

Consensus and price

Consensus (yfinance, Nov 3; fiscal years end ~July 1): FY27 EPS $227.80 (20 analysts, range $219.30–$241.23), revenue $49.56B (19; $48.03–51.42B); FY28 EPS $287.26 (20; $243.95–$356.85), revenue $60.59B (20; $43.40–80.25B). No FY29–FY30 consensus was found; those years are house assumptions and the weakest inputs. Mean target $2,023.63 (24 analysts; $870–3,000), recommendation 1.52. Price: $1,120.05 (€1,000.5), 52-week closing range $183–$2,335; 1 month −34.2%, 3 months −17.0%, 12 months +462%; MA50 $1,540, MA200 $1,266. Beta vs SPY: 3.6 (weekly, 1 yr), 4.2 (daily); annualised volatility 113%.

1. Business Overview

SanDisk designs and sells NAND flash products: enterprise SSDs for data centers, embedded flash and client SSDs for PC/phone/auto/industrial OEMs (Edge), and branded consumer cards, USB drives and portable SSDs (Consumer). It was spun out of Western Digital on Feb 21, 2025 (WDC sold its retained 19.9% by July 2026). Wafers come almost entirely from Flash Ventures, the 50/50 manufacturing JV with Kioxia in Yokkaichi and Kitakami (Japan); SanDisk owns chip design/IP, back-end assembly and test (Malaysia, China via the 20%-owned SDSS) and the system/firmware layer.

End market	What it is	FY26 revenue	Share	Q1 FY27	Share
Datacenter	Enterprise / hyperscaler SSDs (incl. high-capacity QLC for AI)	$5.15B	25.4%	$4.80B	43.5%
Edge	PC, mobile, gaming, auto, physical AI, industrial OEM flash	$12.16B	60.1%	$5.83B	52.9%
Consumer	Branded retail cards, USB, portable SSD	$2.94B	14.5%	$0.40B	3.6%
Total		**$20.25B**	**100%**	**$11.03B**	**100%**

Principal markets: shipments 65–70% to Asia (OEM/ODM assembly), 21–30% Americas. Customers: three U.S. hyperscalers, AI model makers, PC/phone OEMs; no customer ≥ 10% for FY26, two at 12% each in Q1 FY27. Competitors (10-K): Kioxia, Micron, Samsung, SK Hynix, YMTC. NAND market share (industry trackers, 2025–26): roughly Samsung ~30%+, SK Hynix/Solidigm ~20%, Kioxia ~15%, Micron ~12–13%, SanDisk ~12% — sourced from press coverage of TrendForce data, not a filing; treat as approximate. TAM: the company gives no dollar TAM in the 10-K. Management says data center will be > 55% of NAND bits in CY27 with data-center bit demand +~40%. No penetration figure is computed.

2. Routing

B-SM (Semiconductors & AI infrastructure), valued as a Lynch Cyclical with the Through-Cycle Valuation (Memory rule: "Memory is a Cyclical first, an AI name second"). Data center is 43.5% of Q1 revenue, but NAND pricing drives every end market (Edge revenue per GB +450% YoY). One multiple regime: no Sum-of-the-Parts.

3. Categorization (Lynch)

Cyclical. Gross margin went from ~7% (FY23) to 85% (Q1 FY27); net income −$2.14B (FY23) → +$11.43B (FY26) → $8.10B in one quarter. The peak-to-trough fall in the last cycle (FY22 profit ~$1.06B → FY23 loss −$2.14B, gross margin to 7.1%) satisfies the "margin swing = a fall" rule. There is no listed history before Feb 2025, so the last cycle comes from the carve-out financials (FY23–FY25 from the 10-K, FY22 from third-party aggregators, unverified). PEG n/m (FY27 EPS +221% off FY26).

4. Earnings Quality (Penman)

Check	FY26 / latest	Read
Accrual ratio FY26 (NI − OCF) / avg assets	($11.43B − $11.67B) / $17.75B = −1.3%	Cash-backed for the fiscal year
Accrual ratio TTM (to Q1 FY27)	($19.42B − $17.55B) / $19.27B = +9.7%	Above the 5% flag. Causes: $1.32B of non-cash Nanya mark-ups in NI, receivables +$5.4B with revenue ×4.8. OCF is rising, not flat, so the Penman cap rule is not triggered.
NBM cash in OCF	Prepayments/deposits in OCF: Q4 FY26 $1.94B, Q1 FY27 $0.47B	Flatters OCF and FCF; the company's own Adjusted FCF strips them out
Adjusted FCF / non-GAAP NI	Q1 FY27 $5.70B / $7.62B = 75%; Q4 FY26 $5.04B / $6.16B = 82%	Basis for the 82–85% conversion in the DCF
Non-GAAP vs GAAP EPS	Q1 $49.51 vs $52.60	GAAP higher: Nanya gains ($513M) excluded from non-GAAP; SBC $91M added back
Transitory items	Nanya mark-to-market +$804M (Q4) +$513M (Q1); legal settlement gains $93M (FY26)	Excluded from the valuation EPS (consensus is non-GAAP)
Receivables	$6.59B = 54 days of Q1 revenue (Q1 FY26: 47)	+7 days; three customers = 42% of receivables
Inventory	$3.02B, +12% QoQ vs revenue +23%	No build-up signal
RNOA vs ROE	No debt; cash $5.1B vs equity $18.1B	ROE is operating, not leverage
Dilution	Diluted shares 149M (Q1 FY26) → 157M (Q4) → 154M (Q1 FY27) → ~151M guided; RSU grants at $1,652 avg; $755M of tax withholding on vesting in Q1	Buybacks offset SBC; net +1.3% in a year
Margin trend (GAAP gross, 5 quarters)	29.8% → 50.9% → 78.4% → 84.6% → 85.0%	Rising, flattening: +0.4 pt in Q1, flat guide

Persistent vs transitory: operating income from NAND is persistent in kind but cyclical in level. ROIC (GAAP NOPLAT / average invested capital incl. $5B goodwill): FY23 −16.7%, FY24 −4.0%, FY25 −12.8% (incl. $1.88B special charges; ~+5% without), FY26 ~104%.

5. Valuation — DCF (Koller) + Multiples Ladder

WACC

Input	Value	Note
Risk-free rate	4.93%	10Y UST 4.933%, macro_report_2026-11-03
Equity risk premium	4.5%	Agent calibration
Beta	1.4 (house rule)	Measured 3.6 weekly / 4.2 daily (1 yr vs SPY); yfinance gives none (listed Feb 2025). Override β 2.0 shown alongside
Cost of equity	11.23%	rf + β × ERP

Input	Value	Note
Debt weight	0%	No financial debt
WACC	11.23% (override 13.93%)	Stress +3 pts: 14.23%

Legacy / debt-like items

Item	Amount	Treatment
Cash + short-term deposits	$5.21B	Added
Nanya Technology stake (Level 1, 3-year lock-up)	$2.29B	Added at Oct 2 mark (not haircut; DRAM stock, moves with the cycle)
Operating leases	$0.20B	Deducted
NBM refund liabilities (customer deposits)	$1.60B	Deducted (returnable at contract end)
NBM contract liabilities (prepayments)	$1.53B	Deducted: cash already received for revenue the EPS path will book without cash
WDC tax indemnification	$0.13B	Deducted
Net cash	$4.04B = $26.73/share	On 151M diluted shares
Flash Ventures lease guarantees / max JV loss exposure	$0.84B / $2.94B	Not deducted: contingent; tail risk
Long-term supply commitments; Kioxia supply payments	$6.79B; $1.2B (2026–29)	Not deducted: inside cost of revenue
$31B JV investment plan to 2032 (SanDisk share undisclosed)	~$1–2B/yr if 40%	Inside the 82–85% FCF conversion; not separately deducted

Consensus reconciliation

Fiscal year (ends ~July)	Consensus EPS	Consensus revenue	Base case	Source
FY27	$227.80 (20; $219–241)	$49.56B (19)	$227.80 (= consensus, below rebuild top)	yfinance, Nov 3
FY28	$287.26 (20; $244–357)	$60.59B (20)	= consensus	yfinance, Nov 3
FY29	none found	—	$245 (−15%, house)	House: new supply (Kitakami Fab3 2029) + NBM floors
FY30	none found	—	$150 (−39%, house)	House: downturn year, then mid-cycle $60
Check: Q2 guide × 4	$224 (mid × 4)	$49.6B	FY27 consensus ≈ guide run-rate	8-K Oct 29

Consensus sanity check

Rebuild	Q1 (actual)	Q2	Q3	Q4	FY27 EPS
Low (Q2 low of guide; Q3 ×0.97; Q4 ×1.00)	$49.51	$55.00	$53.35	$53.35	$211.21
Mid (Q2 mid of guide; Q3 ×1.02; Q4 ×1.04)	$49.51	$56.00	$57.12	$59.40	$222.03
Top (Q2 top of guide; Q3 ×1.05; Q4 ×1.06)	$49.51	$57.00	$59.85	$63.44	$229.80

1. Rebuild range $211–$230. Consensus $227.80 is 0.9% below the rebuild top: not stretched. Base FY27 = consensus. Q3 is "normally the weakest sequential quarter" (management), so the low line keeps Q3 below Q2.

2. Run rate vs growth: Q1 × 4 = $44.1B; FY27 consensus revenue $49.6B is +12%, consistent with mid-to-high-teens bit growth plus "modest" price increases. Kioxia's "flat prices" outlook sits at the bottom of that range.

3. Dispersion: FY27 EPS high/low 1.1×; FY28 1.5× (revenue 1.85×: $43.4B–$80.2B). Analysts agree on FY27 and disagree on FY28 pricing. FY29–30 have no consensus: weakest inputs.

4. Revisions: FY27 +6.5%, FY28 +9.0% in 30 days, after a beat. Neutral for a Cyclical; not used to support the Base.

5–6. Haircut test (Base structure, FY27–FY30 EPS scaled):

Consensus EPS scaled by	Value per share	Price ÷ value	MoS Gate
100% (Consensus case = Base)	€914 ($1,023)	1.09×	NONE
90%	€858 ($961)	1.17×	NONE
80%	€803 ($899)	1.25×	NONE
70%	€747 ($836)	1.34×	NONE

The gate is already NONE at 100% of consensus; the haircut only widens the gap. Value is more sensitive to the mid-cycle level and the downturn timing than to FY27–28 (sensitivity below).

Scenarios — consensus cycle, then mid-cycle

Structure (same as the MU report): explicit EPS path, remaining three quarters of FY27 only (Q1 cash is already in the balance sheet or spent on buybacks); per-share FCF = EPS × conversion (FY27 82%, later 85%: adjusted FCF / non-GAAP NI was 75–82% in the last two quarters; JV capex comes through wafer cost and JV loans); discounted at 11.23% from Nov 3, 2026 (FY27 ends Jul 2, 2027, 0.66 years away). Terminal = mid-cycle EPS × (1 − g/RONIC) ÷ (WACC − g), g = 3%. Plus net cash $26.73/share.

Scenario	Explicit EPS path	Mid-cycle EPS	RONIC	Terminal % of value	Value @ 11.23%	@ β 2.0	@ WACC +3
Bear	FY27 $211 (rebuild low), FY28 $150, FY29 $60	$25	12%	39%	€418 ($467)	$409	$404
Base	FY27 $228, FY28 $287 (consensus), FY29 $245, FY30 $150	$60	18%	41%	€914 ($1,023)	$868	$855
Bull	FY27 $230, FY28 $330, FY29 $300, FY30 $230, FY31 $150	$100	25%	46%	€1,299 ($1,454)	$1,199	$1,177

Bear (named risk: NAND price rollover). Kioxia already guides flat prices for Oct–Dec. In the Bear, prices fall from mid-2027 as Samsung/SK Hynix redirect capacity back to NAND once HBM/DRAM tightness eases, YMTC expands, and Kitakami Fab3 is pulled forward. Only ~2/3 of FY28 bits are NBM-protected, and at floor prices. Mid-cycle ~$18B revenue at a 21% net margin ($25 EPS) — still 3.4× the FY22 peak. A second named risk pulls the same way: demand destruction at OEMs (Apple's margin guide; SanDisk's own Consumer −39% and Edge exabytes −20% YoY). **Base:** consensus through FY28, then a house downturn (FY29 −15%, FY30 −39%), mid-cycle ~$28B revenue at a 32% net margin ($60 EPS), supported by the NBM book (RPO $88.9B; ~$17.8B a year at contract prices). **Bull:** tightness lasts into FY30 ("NBM pipeline exceeds supply through the end of the decade"); mid-cycle ~$38B at 40% ($100 EPS).

MoS Gate: NONE. Price €1,001 ($1,120) = 1.09× Base, 2.40× Bear, 0.77× Bull (price date Nov 3, 2026 intraday). Price equals the Base at a 10.1% WACC and the Bear at 5.1% (about the risk-free rate). Bear at WACC +3 = €360 ($404). Implied multiples: Bear 2.1× FY27 / 1.6× FY28 EPS; Base 4.5× / 3.6×; Bull 6.4× / 5.1×. Price: 4.9× / 3.9×. Terminal value is only 39–46% of value: the explicit cycle years carry most of it, as in the MU model.

Through-Cycle Valuation (Cyclicals)

Item	Value
PV of Base explicit path FY27 (rem.)–FY30 (EPS basis / FCF basis)	$693 / $584 per share
Net cash per share (after NBM deposits and prepayments)	$27
Residual left for after FY30, valued at FY30 (EPS / FCF basis)	$590 / $750

Item	Value
Required mid-cycle EPS at 12× (EPS / FCF basis)	$49.1 / $73.6 (€43.9 / €65.7)
Last full cycle FY22–FY25 (net income ÷ 145M spin-off shares): peak / trough / average	$7.3 (FY22, aggregator, unverified) / −$14.8 (FY23) / −$5.9 (GAAP); −$2.7 ex the FY25 $1.88B special charges
Required ÷ last-cycle peak	6.7× / 10.1×
Required ÷ last-cycle average	n/m (average was a loss)

What has to be true: after the FY27–30 cycle, SanDisk earns $49–74 per share in an average year, 6.7–10× its best year of the last cycle, for a business that lost money on average across FY22–FY25. For Micron the same test gave 2.5–3.7× its last peak, backed by 10-K floor-margin language ("meaningfully above our peak quarterly margins in any past cycle"). SanDisk has a large NBM book (RPO $88.9B) but no disclosed floor-margin level; the "attractive margins even at floor pricing" quote comes from a pre-earnings preview, not a filing. This is the core of the YELLOW: the price is plausible only if NBMs change NAND's economics far more than they have been tested to.

Multiples Ladder

Anchor	Multiple	Value per share
Bear DCF	2.1× FY27	€418 ($467)
Lynch mid-cycle 12× × Base mid-cycle EPS $60 (terminal-only anchor)	12×	€643 ($720)
SK Hynix fwd P/E ~3.3× (avg of CY26 3.9× / CY27 2.6×, yfinance) × SNDK FY27 EPS	3.3×	€665 ($745)
Kioxia fwd P/E 3.4× (FY to Mar-2027, ¥3,344 consensus) × FY27 EPS — closest peer (same fabs)	3.4×	€690 ($772)
Samsung fwd P/E ~3.8× (avg CY26 4.8× / CY27 2.9×) × FY27 EPS	3.8×	€773 ($866)
Base DCF	4.5× FY27 / 3.6× FY28	€914 ($1,023)
Micron fwd P/E 4.85× (FY to Aug-2027) × FY27 EPS	4.85×	€987 ($1,105)
Price today (Nov 3)	4.9× FY27 / 3.9× FY28	€1,001 ($1,120)
Bull DCF	6.4× FY27	€1,299 ($1,454)

Read: SanDisk trades at the top of the memory peer ladder, level with Micron and 30–50% above Kioxia and SK Hynix. Kioxia buys wafers from the same JV fabs and trades at 3.4× / 2.25× its next two years. The Base DCF (4.5×) sits inside the ladder, between Samsung and Micron. Own 5-year history: not comparable (listed Feb 2025; three loss years). IT-sector median P/E: not meaningful for a cyclical. Peers fell 20–41% in a month (Kioxia −40.6%, MU −19.5%).

Capex-adjusted multiple (capex reported < 20% of revenue, but JV capex is off-balance)	Value (diluted market cap $169.1B, EV $165.1B)
P/E TTM (GAAP, incl. Nanya gains)	8.7×
P/operating cash flow TTM ($17.55B)	9.6×
P/FCF TTM ($17.37B; incl. ~$2.4B of NBM prepayments)	9.7× (FCF yield 10.3%)
EV/EBITDA TTM ($21.2B)	7.8×
EV/(EBITDA − capex) TTM	7.9×
FY27 FCF yield (consensus EPS × 82%)	16.7%

Sum-of-the-Parts: single multiple regime — SOTP not needed.

Sensitivity (Benninga)

WACC \ g	2.0%	2.5%	3.0%	4.0%
9.23%	$1,167	$1,189	$1,214	$1,279
10.23%	$1,076	$1,090	$1,106	$1,146

WACC \ g	2.0%	2.5%	3.0%	4.0%
11.23% (house)	$1,003	$1,012	$1,023	$1,049
12.23%	$943	$949	$956	$973
13.93% (β 2.0)	$862	$865	$868	$876

Downturn starts \ mid-cycle EPS	$25	$40	$60	$80	$100
FY29 (Bear timing)	$594	$709	$862	$1,014	$1,167
FY30 (Base timing)	$783	$886	$1,023	$1,160	$1,297
FY31 (Bull timing)	$905	$998	$1,121	$1,245	$1,368

The price is reached only with a mid-cycle EPS of ~$74 on the Base timing, or ~$60 if the downturn waits until FY31. If the downturn comes in FY29, the price needs ~$100 mid-cycle EPS (Bull level). The WACC × g grid never reaches the price above a ~10.1% WACC.

6. Mauboussin — Price-Implied Expectations

WACC	Mid-cycle EPS the price needs (Base path to FY30, RONIC 18%)	× FY22 peak ($7.3)	× Base mid-cycle ($60)
10.23%	$61.7 (€55.1)	8×	1.03×
11.23% (house)	$74.1 (€66.2)	10×	1.24×
12.23%	$87.6 (€78.3)	12×	1.46×
13.93% (β 2.0)	$113.2 (€101.1)	16×	1.89×

At the house WACC the price needs ~$74 of mid-cycle EPS vs a Base assumption of $60: the market prices a mid-cycle 24% above our Base and ~10× the last cycle's peak. That is above 2× the base rate. The only structural explanation is the NBM book, which is one year old and untested in a downturn. Years of Consensus Priced In: replaced by the Through-Cycle table (Cyclical).

Moat and CAP: scale in a five-player NAND oligopoly with $10B+ fabs, a 25-year JV with Kioxia that halves fab capex per bit, BiCS node competitiveness (BiCS8 now; BiCS10 2Tb QLC "a little ways out"), and multi-year NBMs with collateral. NAND has historically been the most commoditised memory: narrow moat, CAP 3–5 years, conditional on the NBM floors holding through the first downturn.

7. Fisher — Qualitative Checklist

- **#5/#6 Margins:** 85.0% GAAP gross in Q1, up five quarters running, now flattening (Q2 guide 84.4–85.4%). Price-driven: Edge revenue per GB +450% YoY on exabytes −20%.
- **#11 Competitive edge:** real but shared. The JV gives cost parity with Kioxia, not an edge over it; data-center QLC/enterprise SSD share is growing fast (Datacenter exabytes +330% YoY). No HBM-like switching cost.
- **#12 Profit outlook:** short-term exceptional (Q2 guide +12% QoQ revenue). Long-term rests on NBMs; Kioxia already guides flat prices.
- **#13 Equity financing:** none; net cash, buybacks of $9.5B in two quarters.
- **#14 Candour:** discloses RPO, collateral, JV exposure and exabyte/price splits. Has not disclosed NBM floor margins.

- **#15 Integrity:** no legal proceedings. Insiders sell under 10b5-1 plans; none buy. FY26 incentive pay hit the 200% maximum on cycle-driven metrics (non-GAAP operating income, adjusted FCF, EPS — DEF 14A). No disqualifier.

8. Ilmanen — Factor Read

Factor	Read
Value	Partly present in absolute terms (4.9× FY27 EPS, 16.7% FY27 FCF yield). Absent relative to peers (top of the ladder) and to the Base DCF (price 1.10× Base).
Quality	Present now (79.6% operating margin, net cash, no debt). Absent through the cycle: three loss years in FY23–FY25.
Momentum	Negative short-term: −34% in a month, below MA50 and MA200, SMH Stage 4. 12-1 month still +755%.
Low beta	Absent: beta 3.6–4.2, volatility 113%.

Net: one factor (current quality) with a weak value read; momentum has turned and beta is extreme. No overlapping factor tailwind.

9. Quality Compounder Screen (Framework 8)

Criterion	Result	Evidence
ROIC 5-yr avg > 15%	PASS (borderline — ½)	FY23–FY26 average ~17.6%; ex-FY26 negative: one year carries it
ROIC trend	PASS	−12.8% (FY25) → ~104% (FY26), higher again in Q1 FY27
Operating margin > 15%	PASS	61.6% FY26 GAAP; 79.6% Q1 FY27
FCF / NI > 80%	PASS (borderline — ½)	FY26 101% reported but incl. $1.94B NBM prepayments; adjusted FCF / non-GAAP NI 75–82% in the last two quarters
Capex / revenue < 10%	PASS (borderline — ½)	Reported 0.9% FY26, 3.4% Q1 FY27, mid-single digits FY27; real fab capex sits in Flash Ventures and comes back through wafer cost
Self-funded (dilution ≤ 1–3%/yr)	PASS	No equity issuance; diluted shares 149M → ~151M in a year (+1.3%)
Management ownership > 0.5%	FAIL	CEO ~417k shares ≈ 0.29%; insiders 1.1% in total; selling under 10b5-1
Buybacks at/below value	FAIL	Bought at $1,419, $1,877 and ~$1,563 vs Base $1,023 and price $1,120
Goodwill < 40% of assets	PASS	$5.0B / $25.8B = 19%

6 passes, 3 of them borderline → 5.5/9 → QUALITY. With MoS Gate NONE, the label at today's price is WATCH (QUALITY). Thorndike: no M&A, debt repaid within 13 months of the spin, a 100%-of-excess-cash return policy. That policy buys at whatever the price is, and so far it has bought near the top.

10. Sector Appendix — Semiconductors (Memory / NAND)

Metric	Current value	Read
Gross margin (IDM)	85.0% Q1 FY27 GAAP; 71.5% FY26	Far above "strong" (> 45%): cyclical peak
Book-to-bill	Not disclosed. RPO $88.9B (+$29.1B QoQ); ~20% in 12 months	Demand-positive
Inventory days	~166 (Q1 COGS annualised); 170 at FY26 year-end vs	High because COGS is low at peak

Metric	Current value	Read
	148 FY25	margins, not unsold product
AI / data-center revenue %	43.5% Q1 FY27 (25.4% FY26, 13.1% FY25, 4.9% FY24)	Rising fast, still priced as NAND
Customer concentration	Two customers at 12% each in Q1; none ≥ 10% in FY26; top 10 = 44%	Rising with NBMs; below the 20% warning line
Capex / revenue	3.4% gross (Q1); JV capex off-balance; $31B JV plan to 2032	Understates economic intensity
NBM coverage (memory rule)	~50% of FY27 bits, ~2/3 of FY28 bits; RPO ≈ 1.8× FY27 consensus revenue; collateral $12.8B	Key mid-cycle support; floor margins not disclosed
Peer read-across	Kioxia: NAND ASP +mid-20s% (Sep qtr) → flat (Dec qtr guide)	Rate of change turning

11. Five-Year Ratio Trend Analysis

Fiscal years end ~July 1. FY22 is from third-party aggregators (unverified; the Form 10 was not read). SanDisk began trading Feb 24, 2025, so multiples before FY25 are n/m. FY25 multiples at the Jun 27, 2025 close ($47.15; 145M shares), FY26 at the Jul 2, 2026 close ($1,745; 146M shares); the last column is TTM fundamentals at today's price.

Metric	FY2023	FY2024	FY2025	FY2026	TTM @ current price
Revenue	$6.09B	$6.66B	$7.36B	$20.25B	$28.97B
Revenue growth	−37.6% (vs FY22 ~$9.75B)	+9.5%	+10.4%	+175.3%	—
Gross margin	7.1%	16.1%	30.1%	71.5%	80.0%
EBITDA margin	−25.0%	−3.6%	−17.0% (8.6% adj.)	65.4%	73.2%
Net margin	−35.2%	−10.1%	−22.3%	56.5%	67.0%
ROE	−17.6%	−6.0%	−16.2%	91.6%	141%
P/E	n/m	n/m	n/m (loss)	22.3×	8.7×
P/S	n/m	n/m	0.9×	12.6×	5.8×
P/B	n/m	n/m	0.7×	16.2×	9.3×
EV/Revenue	n/m	n/m	1.0×	12.3×	5.7×
EV/EBITDA	n/m	n/m	n/m (11.6× adj.)	18.9×	7.8×
Debt/Equity	n/a	0.09	0.22	0.01	0.01 (leases)
Net cash / (net debt)	n/a	−$0.66B	−$0.56B	+$4.59B	+$4.04B after NBM items
FCF margin	−15.3%	−7.1%	−1.6%	56.8%	59.9%

Sector metric	FY2023	FY2024	FY2025	FY2026	Q1 FY27
Capex / revenue (reported)	3.6%	2.5%	2.8%	0.9%	3.4% gross
FCF / net income	n/m	n/m	n/m	101%	78% (GAAP NI)
Inventory days (year-end)	n/a	128	148	170	~166
Datacenter % of revenue	n/a	4.9%	13.1%	25.4%	43.5%
Largest customer % revenue	< 10%	< 10%	< 10%	< 10%	12% (two)
Top 10 customers	n/a	41%	40%	44%	n/a
RPO (NBMs)	—	—	—	$59.8B	$88.9B
Diluted shares	145M	145M	145M	155M (avg)	154M → ~151M

Interpretation: gross margin from 7% to 85% in three years confirms the Cyclical call. P/E fell from 22× (FY26 year-end) to 8.7× while the price fell 36%: earnings are catching up with a price that ran ahead, the classic peak-cycle inversion — a low P/E on peak earnings is a warning, not a bargain. What is new is in the sector rows: data center

from 5% to 44% of revenue and $88.9B of contracted NBM revenue that did not exist a year ago. That is the evidence behind a higher mid-cycle. It is not yet evidence of the 7–10× step-up the price assumes.

12. Final Verdict

TICKER	Track	Category	F-Score	F-Rating	DCF Bear-Base-Bull	MoS Gate	Compounder	AI Impact	Horizon	Thesis Invalidation
SNDK	B-SM	Cyclical	58 (V 30 / Q 70 / G 60)	Fair	$467 / $1,023 / $1,454 (€418 / €914 / €1,299), WACC 11.23%; post-split ÷8	NONE	WATCH (QUALITY 5.5/9)	TAILWIND	3–5 yr	NAND contract prices down QoQ for two quarters; RPO shrinks or NBMs renegotiated; gross margin < 60%; Kioxia JV disruption; Datacenter share of revenue falls back below 30%

Verdict Score component	Score (0–10)	Weight	Weighted	Why
DCF / MoS Gate	3	3	0.90	Between Base and Bull: price 1.09× Base, 0.77× Bull
Business quality (Framework 8)	6.1	3	1.83	5.5 / 9 passes (three borderline)
Relative value	2	2	0.40	Top of the earnings-multiple ladder: level with MU, above Kioxia, SK Hynix, Samsung and the Base DCF
Risks (Default Warnings)	10	2	2.00	None triggered
Total			5.1 → YELLOW	Business quality supports conviction; price does not

Summary. No Default Warning is triggered: margins rose five quarters in a row, cash flow is rising and estimates went up. SanDisk is a QUALITY business at a NAND pricing peak, with a real structural change under way (data center 44% of revenue, $88.9B of NBM contracts). At €1,001 ($1,120) it trades 9% above a Base case that already assumes consensus through FY28 and a mid-cycle 8× the last cycle's peak. It also trades at the top of the memory peer ladder. YELLOW, WATCH (QUALITY).

What has to be true: mid-cycle EPS of ~$74 (house WACC), i.e. NBMs hold NAND margins near 35–40% through the next downturn, in an industry that lost money on average in FY22–25. The data point that would most change the verdict is NAND contract pricing in Q2–Q3 FY27: "modest" increases (SanDisk) vs "roughly flat" (Kioxia). Price would clear the Base gate at ≤ €914 ($1,023) ($127.87 post-split), −9% from here; the Bear gate is €418 ($467).

Macro timing (today's /macro, SHORT bias, SMH Stage 4 confirmed and retesting MA200 from below): the long-term verdict says the price is still above fair value even after a 52% fall. The regime says the de-rating can continue. For a long-term buyer, the report supports waiting for the Base gate or for evidence that NBM pricing holds when spot prices stop rising.

13. Investment Checklist Scorecard

Side output — not a gate; it does not change the Step 12 verdict.

Categoria	✓	✗	?	N/A	Score
Pre-investimento	7	2	1	0	7/10
Business Model ed Economics	5	1	1	0	5/7
Unit Economics e KPI	4	2	0	1	4/7
Strategia e Risorse	7	2	1	0	7/10
Power Dynamics	6	2	1	0	6/9
Check dei Poteri	2	5	0	0	2/7
Valutazione	7	2	2	0	7/11
Opzionalità	3	0	2	0	3/5
Management e Governance	5	3	3	0	5/11
Rischi	7	2	0	0	7/9
Totale	**53**	**21**	**11**	**1**	**53/86**

Coverage = (✓ + ✗) / (86 − N/A) = 74/85 = 87%. Most ? sit in Management e Governance (interviews, culture) and cost detail: not enough information there, not a bad mark.

Pre-investimento

ID	Check	Mark	Evidence
PRE-1	Enough research	✓	FY26 10-K, Q1 FY27 10-Q and 8-K, DEF 14A, call, peers (Step 0)
PRE-2	Bear case / pre-mortem	✓	Bear $467: NAND price rollover from mid-2027 (Step 5)
PRE-3	Key drivers understood	✓	Exabytes × revenue per GB; 10-Q split by end market
PRE-4	Differentiated view vs market	✓	Market prices mid-cycle EPS ~$74 vs Base $60 (Step 6)
PRE-5	Favourable risk-reward	✗	Bull +30% vs Bear -58%; Base −9%
PRE-6	Catalyst	✓	Q2 FY27 print (late Jan); split Nov 20; $10.5B buyback left
PRE-7	Disconfirming information known	✓	Kioxia flat-price guide; invalidation list (Step 12)
PRE-8	Why this vs existing holdings	?	Portfolio question; user holds MU (overlapping memory exposure)
PRE-9	Buy more after −50%	✓	−50% ≈ $560, between Bear $467 and Base
PRE-10	Not a value trap / turnaround	✗	Cyclical at peak: low P/E on peak EPS (Step 3)

Business Model ed Economics

ID	Check	Mark	Evidence
BM-1	Target client & value proposition	✓	Hyperscalers, AI model makers, OEMs (10-K, call)
BM-2	Revenue model & mix	✓	10-K/10-Q: Datacenter 43.5% / Edge 52.9% / Consumer 3.6% (Q1)
BM-3	Granular cost structure	?	JV wafer cost not broken out; cost per bit unavailable
BM-4	Operating leverage	✓	Operating margin −33% (FY23) → 79.6% (Q1 FY27)
BM-5	Go-to-market	✓	Direct + channel; NBM take-or-pay with collateral
BM-6	Unexploited pricing power	✗	Already at peak pricing; Kioxia guides flat
BM-7	Strategic partners	✓	Kioxia JV to 2034; Nanya stake; three U.S. hyperscalers

Unit Economics e KPI

ID	Check	Mark	Evidence
UE-1	Unit economics good, not temporary	✗	85% gross margin is price-driven

ID	Check	Mark	Evidence
UE-2	3–4 key KPIs tracked	✓	Exabytes, revenue per GB, gross margin, RPO
UE-3	Cash cycle understood	✓	NBM prepayments/deposits separated (Step 4)
UE-4	ROIC high and can still grow	✗	~104% FY26 at peak; Base FY30 EPS −39%
UE-5	Capital intensity	✓	Low reported capex; JV shares fab cost (borderline)
UE-6	Incremental margins	✓	FY25 → FY26 incremental operating margin ~93%
UE-7	Gross profit vs marketing	N/A	Not marketing-driven

Strategia e Risorse

ID	Check	Mark	Evidence
STR-1	Strategy understood	✓	Data-center shift + NBMs + capital return
STR-2	Value chain mapped	✓	JV wafers → SanDisk design/back-end → OEM/hyperscaler
STR-3	Value-chain evolution	?	Role of QLC vs HDD in AI storage not analysed in depth
STR-4	Vertical integration	✓	JV front-end, own back-end (Malaysia), SDSS (China)
STR-5	Key success factors	✓	BiCS node cadence, JV cost, NBM coverage
STR-6	Oligopoly structure	✓	Five NAND makers; YMTC as the entrant
STR-7	Rational past conduct	✗	FY23 oversupply: gross margin 7%, losses
STR-8	Barriers to entry	✓	$10B+ fabs; ¥5T JV plan
STR-9	Five forces favourable	✗	Concentrated buyers; favourable only in shortage
STR-10	Highest-value resources / synergies	✓	Kioxia JV halves capex per bit

Power Dynamics

ID	Check	Mark	Evidence
PD-1	Strategic inflection point	✓	Spot → NBM contracts (RPO $88.9B)
PD-2	Company phase	✓	Newly independent, at a cyclical peak
PD-3	Competitors segmented	✓	10-K: Kioxia, Micron, Samsung, SK Hynix, YMTC
PD-4	Why not a commodity	✗	NAND is the most commoditised memory
PD-5	Powers analysed	✓	Scale (JV) + contract switching costs
PD-6	Main Power identified	✓	Scale economies shared with Kioxia
PD-7	Cost & pricing vs competitors	?	Cost per bit vs peers unavailable
PD-8	Moat incl. contrary data	✓	Contrary: FY23 losses, Kioxia pricing, YMTC
PD-9	Multi-business strategy	✗	Single segment, NAND only

Check dei Poteri

ID	Check	Mark	Evidence
POW-1	Unique resources	✗	Kioxia shares the same fabs and nodes
POW-2	Counter-positioning	✗	None
POW-3	Switching cost	✓	Multi-year NBMs with collateral (contractual, not technical)
POW-4	Network economies	✗	None
POW-5	Scale economies	✓	JV scale; $10B+ fab barrier
POW-6	Branding	✗	Consumer brand is 3.6% of revenue
POW-7	Process power	✗	No durable node lead

Valutazione

ID	Check	Mark	Evidence
VAL-1	TAM analysed	?	No company TAM; bit-demand growth only
VAL-2	Market share	✓	~12% NAND (approximate, trackers)
VAL-3	Implications of assumptions (invert)	✓	Price needs mid-cycle EPS ~$74 (Step 6)
VAL-4	Base rates checked	✓	FY22–25: peak $7.3, average a loss
VAL-5	Organic growth	✓	All organic
VAL-6	Why revenue grows / falls	✓	60% volume / 40% price QoQ; Fab3 2029
VAL-7	Costs in detail and evolution	?	JV cost per wafer not modelled
VAL-8	Working capital / capex can improve	✗	DSO +7 days; JV capex rising
VAL-9	Intrinsic value estimated	✓	$467 / $1,023 / $1,454
VAL-10	No common errors	✓	NBM cash deducted; Nanya gains excluded; g < WACC
VAL-11	Possible, plausible, probable	✗	Price needs the Bull-side mid-cycle

Opzionalità

ID	Check	Mark	Evidence
OPT-1	Resources extend to new businesses	✓	High-bandwidth flash, physical AI, auto
OPT-2	Economics of similar products	?	Not researched
OPT-3	Differentiated competence for launches	?	BiCS10 timing unclear
OPT-4	Unreported drivers	✓	Nanya stake ($2.29B) not in EPS
OPT-5	Traction of options	✓	Datacenter revenue ×18 YoY

Management e Governance

ID	Check	Mark	Evidence
MGT-1	Organisation & key roles	✓	CEO Goeckeler (Chairman), CFO Visoso, CTO Ilkbahar
MGT-2	DEF 14A incentives	✗	STI/PSU on non-GAAP OI, adj. FCF, EPS; paid 200% max on the cycle
MGT-3	Clean governance, stable top team	✓	No legal proceedings; stable team since spin
MGT-4	Founder / aligned incentives	✗	CEO ~0.29%; insiders sell
MGT-5	Interviews / integrity	?	Not researched
MGT-6	Culture (Glassdoor/Reddit)	?	Not researched
MGT-7	Unionised workforce	✓	10-K: ~11,100 employees; no unions disclosed
MGT-8	No short-termism	✓	No acceleration of BiCS transitions; bit growth held at mid-to-high teens
MGT-9	Operational excellence	✓	Beat own guide in Q1; debt repaid early
MGT-10	Takes innovative rivals seriously	?	No commentary on YMTC found
MGT-11	Value-creating capital allocation	✗	Buybacks at $1,419–1,877

Rischi

ID	Check	Mark	Evidence
RSK-1	Risk factors read	✓	10-K Item 1A: 8 stressed risks (Step 0)
RSK-2	No excessive concentration	✓	10-K: no customer ≥ 10% FY26; Q1 two at 12%
RSK-3	Cyclicality understood (not cyclical)	✗	Gross margin 7% → 85% in three years
RSK-4	No accounting red flags	✓	10-Q: TTM accrual 9.7% explained (Nanya, receivables)
RSK-5	Leverage manageable	✓	No debt; $1.5B revolver undrawn
RSK-6	Goodwill / failed acquisitions	✓	10-K: goodwill 19% of assets, inherited from WDC

ID	Check	Mark	Evidence
RSK-7	Not a fad	✗	Revenue ×4.8 YoY on the AI capex wave
RSK-8	No technical debt	✓	BiCS8 in production, BiCS9 ramping
RSK-9	Still nimble	✓	Fast shift to data center (5% → 44%)

Weakest category (most ✗, excluding Powers): Management e Governance (3 ✗).

✗ in PRE and RSK: PRE-5, PRE-10, RSK-3, RSK-7.

Powers present: POW-3 Switching cost; POW-5 Scale economies.